Cambridge (CIE) A Level Business

Your notes

Stakeholders in a Business

Contents

- Internal and External Stakeholders
- The Influence of Stakeholders

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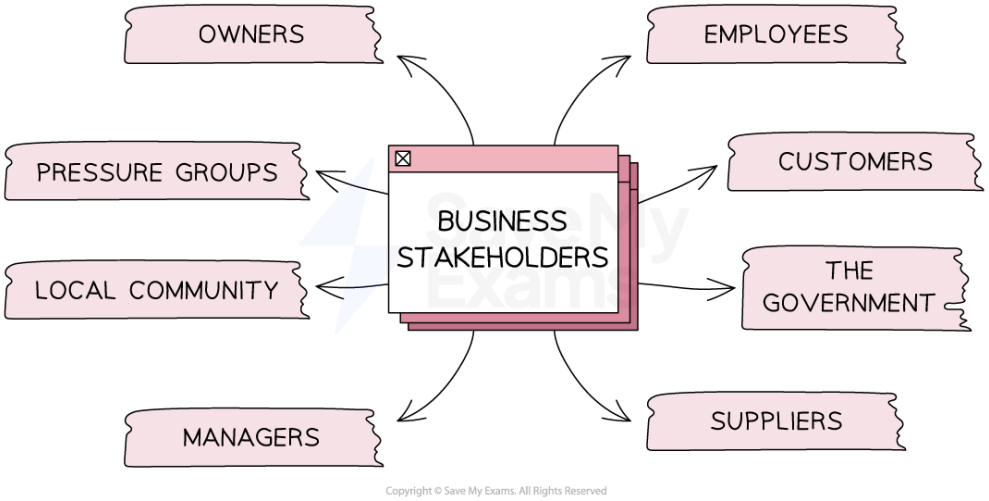
Introducing business stakeholders

- A **stakeholder** is **any person, group, or organisation** that has an **interest in or is affected by** the activities and decisions of a business



Stakeholders are individuals or groups with an interest in the activities of a business

- A business needs to take into account the **needs and interests of its stakeholders** in order to operate successfully and ensure long term success
- Different stakeholders may have different priorities, which means that at times, it may be difficult for the business to please all stakeholders

Internal stakeholders

- An **internal stakeholder** is someone who is **directly involved inside the organisation** and is affected by its day-to-day operations and decisions

Owners

- Provide capital and take overall responsibility for the business
- Invest in a company by buying shares

Rights	Responsibilities
▪ Right to profits, right to make decisions (especially in small firms), right to close the business ▪ Right to dividends, vote at AGMs, access to key financial info	▪ Run the business ethically and legally, reinvest or distribute profits, ensure long-term success ▪ Vote responsibly, monitor company performance, support long-term growth

Employees

- Work in the business and carry out tasks assigned to them

Rights	Responsibilities
▪ Right to fair pay, safe working conditions, job security, non-discrimination	▪ Work effectively, follow company rules, respect colleagues and customers

Managers and directors

- Lead teams and run daily operations

Rights	Responsibilities
▪ Right to make decisions within their department or branch	▪ Meet targets, manage people and resources, report to senior leaders

External stakeholders

- An **external stakeholder** is a person or group **outside the business** who is affected by or has an interest in its activities and performance

Customers

- Purchase and use goods or services

Rights	Responsibilities
▪ Right to safe, good-quality products, fair prices, clear information	▪ Use products correctly, pay on time, give feedback

Suppliers

- Provide goods, materials or services needed for production

Rights	Responsibilities
▪ Right to be paid on time, fair contracts, clear communication	▪ Deliver on time, maintain quality, be reliable

Creditors

- Lend money or provide trade credit to the business

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Rights	Responsibilities
▪ Right to be repaid on time, to receive interest, if agreed	▪ Provide funds as agreed; assess business risk before lending

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Local community

- Lives near or is affected by the business's operations
- May be employed by the business

Rights	Responsibilities
▪ Right to clean environment, jobs, reduced noise and traffic	▪ Participate in consultations, give feedback, support local business where possible

Government

- Regulates business activity, collects tax and sets laws

Rights	Responsibilities
▪ Right to collect taxes, inspect for compliance, enforce regulations	▪ Enforce laws fairly, support economic stability, provide public services

Pressure groups

- Campaign to influence business behaviour, especially on social issues

Rights	Responsibilities
▪ Right to protest, raise awareness, organise campaigns	▪ Act lawfully, communicate concerns clearly, represent public or ethical views

Competitors

- Offer similar products and services in the same market

Rights	Responsibilities
▪ Right to compete fairly and legally	▪ Compete ethically; avoid misleading advertising or copying innovations

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Business accountability to its stakeholders

- Being **accountable** means a business being responsible for its actions and decisions and is **willing to explain them** to those stakeholders affected

Why do businesses need to be accountable?

1. Stakeholders have power and influence

- If stakeholders feel ignored or treated unfairly, they can **harm the business**
  - Shareholders can vote at meetings or sell shares, affecting the share price
  - Employees can strike, resign, or lower their productivity
  - Customers can stop buying products and damage the brand
  - Pressure groups can launch campaigns that create bad publicity
  - Governments can fine or close businesses that break the law

2. Accountability maintains trust and reputation

- Being open and honest helps build **trust**
- A good reputation attracts **investors, skilled workers, and loyal customers**

3. Supports long-term success

- Listening to stakeholders helps businesses avoid conflict and make better decisions
- It encourages **ethical behaviour** and reduces the risk of breaking laws or damaging the environment

Accountability to different stakeholder groups

Stakeholder group	Business responsibilities	Demonstrating accountability
Employees	▪ Pay fair wages and offer job security ▪ Provide safe working conditions ▪ Support training and development ▪ Treat all employees equally	▪ Share updates through meetings or email ▪ Follow employment laws ▪ Support unions and employee voice ▪ Respond to concerns through HR
Owners	▪ Make good use of their investment	▪ Publish financial reports and forecasts

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	▪ Aim for strong profits ▪ Be transparent about business performance	▪ Hold AGMs for questions and voting ▪ Pay dividends when profits allow
Customers	▪ Provide safe, reliable products ▪ Offer good customer service ▪ Charge fair prices ▪ Advertise honestly	▪ Respond to complaints and offer refunds ▪ Use quality control systems ▪ Provide warranties and clear info
Suppliers	▪ Place clear, fair orders ▪ Pay on time ▪ Build respectful, long-term relationships	▪ Honour contracts ▪ Communicate about delays ▪ Avoid forcing unfair price cuts
Local community	▪ Reduce pollution, traffic, and noise ▪ Create local jobs ▪ Support local causes and projects	▪ Consult the public on expansion plans ▪ Sponsor local events ▪ Minimise negative environmental impact
Government	▪ Follow laws and regulations ▪ Pay taxes on time ▪ Report accurate business data	▪ Cooperate with inspections and audits ▪ Submit tax returns ▪ Follow correct procedures when expanding or closing sites
Pressure groups	▪ Respect concerns about ethics or the environment ▪ Avoid controversial practices (e.g. pollution, poor labour conditions)	▪ Meet with group leaders ▪ Adapt policies if needed ▪ Respond to campaigns or negative publicity

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Conflicting stakeholder aims and objectives

- Stakeholder groups can have **conflicting objectives**, which can lead to tensions and disagreements
- Conflicts can also arise when stakeholders have **different levels of power and influence**

- E.g. Pressure groups with strong public support may be able to influence business activity more than individual shareholders
- Businesses may need to **balance the competing demands** of different stakeholder groups
  - E.g. A company may need to invest in costly environmental technology to meet the demands of the local community, but this **may reduce profitability** and upset shareholders

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Examples of stakeholder conflicts

Stakeholders	Conflict
Employees and employers	▪ In 2022, workers at **Apple**'s Chinese factory, operated by **Foxconn**, protested against strict COVID-19 lockdown conditions, unpaid bonuses, and poor living arrangements ▪ Employees clashed with security forces, and videos of the unrest spread online ▪ Apple faced delays in iPhone production, and Foxconn had to offer extra pay to restore order
Pressure groups and government	▪ In 2021, environmental groups in Brazil criticised the government's handling of deforestation in the Amazon rainforest ▪ Organisations such as **Greenpeace** and **WWF** accused the government of weakening environmental protections ▪ The government argued it was supporting economic development, but international pressure grew, affecting trade negotiations with other countries
Local communities and developers	▪ In 2018, in India's Tamil Nadu state, local communities protested against the expansion of a smelting plant owned by **Sterlite Copper** ▪ Residents claimed the plant caused pollution and health problems. ▪ Protests escalated, leading to clashes with police and the eventual closure of the plant after government intervention

How stakeholders may be affected by changes in objectives

- Business objectives can **change over time** depending on the business's situation, such as during a recession, after a merger, or when facing public pressure
- Any change to an objective will impact stakeholders in different ways

1. **Employees**

- If the business changes its objective to focus on **cost-cutting**, employees may face **job losses** or lower wages
- If the new aim is **growth**, employees may see **more job opportunities**, promotions, or training

2. **Owners**
   - A shift towards **profit maximisation** may result in higher dividends and increased share prices
   - If the business aims to become more **sustainable**, profits might drop in the short term, which some shareholders may not like
3. **Customers**
   - If the focus is on **lower costs**, product quality or customer service might suffer
   - If the aim shifts to **customer satisfaction or ethical business**, customers may benefit from better service and feel more loyal to the brand
4. **Suppliers**
   - If the business wants to **reduce spending**, it may demand **lower prices** or reduce orders, which negatively affects suppliers
   - If the business focuses on **ethical sourcing**, suppliers who meet fair trade or quality standards may benefit
5. **Local community**
   - If a business changes its objective to focus on **environmental impact**, the local area may benefit from cleaner operations and more community support
   - If the goal becomes **global expansion**, the business might relocate, reducing local investment or jobs

Business decisions affect stakeholders differently

- Stakeholders do not all react in the same way to business decisions
  - Internal stakeholders are **directly involved**, so changes often affect job roles, business income, or strategy
  - External stakeholders may feel the impact in the form of prices, supply contracts, local jobs, or reputation

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Changing Business Objectives and Stakeholders

Stakeholders respond in different ways to changing business objectives

Changing business objectives and stakeholder reactions

Business decision	Stakeholder	Impact and likely reaction

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Relocating production abroad	▪ Employees	▪ Job losses in home country; may protest, strike, or leave
	▪ Local community	▪ Fewer local jobs; may campaign or appeal to local authorities
	▪ Suppliers	▪ May lose contracts; could raise prices or seek new buyers
Raising prices	▪ Owners	▪ Higher profits if sales remain strong; likely to support the move
	▪ Customers	▪ Unhappy with higher costs; may complain or switch to competitors
	▪ Creditors	▪ Concern over reduced sales may tighten lending terms
Launching a new product line	▪ Employees	▪ More opportunities and training; usually positive and motivated response
	▪ Shareholders	▪ Potential for higher profits and share value; likely to support and invest further
	▪ Competitors	▪ May lose customers; likely to respond with new marketing or products

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